

The above chart is the Bajaj Finance 5-minutes chart. A trader decides to take the short strangle strategy at this instant.

Main orders

Short 6400 CE at 194.5

Short 6300 PE at 158.6

(These are the price levels at 9.20 AM)

It is better to safeguard these positions by keeping a 25% stop-loss for both the trades.

For 6400 CE – 25% of 194.5 is 48.6, so we need to keep a buy order for 6400 CE at 243 ($194.5 + 48.6$)

For 6300 PE – 25% of 158.6 is 39.65, so we need to keep a buy order for 6300 CE at 198.25 ($158.6 + 39.65$).

Let us see what happened at EOD close.



Image 9.15 – Bajfinance 5-min chart at 3.15 PM

The above chart indicates that the price broke below 6300. Hence it hit the stop-loss for 6300 PE at 198.25. But there is no damage to 6400 CE.

6400 CE price at 3.15 PM is 125, so profits made is $(194.5 - 125) = 69.5$

6300 PE hit the stop-loss, so loss is $(198.25 - 158.6) = 39.65$